IN THE NATIONAL COMPANY LAW TRIBUNAL, AHMEDABAD
COURT - 2

ITEM No.302

C.A.(CAA)/34(AHM)2023

Proceedings under Section 230-232

IN THE MATTER OF:

Reliance Projects & Property Management Services Ltd **.....Applicant**

Order delivered on 19/05/2023

Coram:

Mr. Shammi Khan, Hon'ble Member(J)
Mr. Ajai Das Mehrotra, Hon'ble Member(T)

PRESENT:

For the Applicant :
For the Respondent :

ORDER

The case is fixed for pronouncement of order.

The order is pronounced in open Court vide separate sheet.

-SD-

AJAI DAS MEHROTRA
MEMBER (TECHNICAL)

-SD-

SHAMMI KHAN
MEMBER (JUDICIAL)

NATIONAL COMPANY LAW TRIBUNAL
AHMEDABAD
(COURT NO. II)

CA (CAA) 34/AHM/2023

IN THE MATTER OF THE COMPANIES ACT, 2013

[In the matter of Sections 230-232 and other applicable provisions of the Companies Act, 2013 read with the Companies [Compromises, Arrangements and Amalgamation] Rules, 2016]

In the matter of Scheme of Arrangement

OF

Reliance Projects & Property Management Services Limited,
(Applicant Company /Transferor Company / Demerger Company)

AND

Their Respective Shareholders and Creditors

Order Pronounced on: 19/05/2023

Coram:
MR. SHAMMI KHAN,
HON'BLE MEMBER (JUDICIAL)

MR. AJAI DAS MEHROTRA,
HON'BLE MEMBER (TECHNICAL)

MEMO OF PARTIES

Reliance Projects & Property Management Services Limited,
(CIN: U72501GJ2019PLC108755)
Registered office at;
101, Saffron, Nr. Centre Point,
Panchwati Panch Rasta, Ambawadi,
Ahmedabad, Gujarat – 380 006

…Applicant Company /
Transferor Company/Demerger Company

For the Applicants: : Mr. Navin Pahwa, Ld. Sr. Adv. a.w. Mr. Ravi Pahwa, Adv.

ORDER

1. The present Application is filed under Section 230-232 read with other applicable provisions of the Companies Act, 2013 (hereinafter referred to as "**the Act**"). The proposed Composite Scheme of Arrangement is between **Reliance Projects & Property Management Services Limited** (For brevity – Demerger Company) and **Reliance Industries Limited,** (For brevity – Resulting Company) and their respective Shareholders and Creditors (as defined in the Scheme) with effect from the Appointed Date as per features set out in the Scheme annexed with the application in accordance with Section 230 to 232 of the Companies Act, 2013.

2. The Scheme of Arrangement provides for the demerger, transfer and vesting of the Digital EPC & Infrastructure Business (as defined in the Scheme) from

the Applicant Company into the Resulting Company on a going concern basis in accordance with the provisions of Section 2(19AA) of the Income-Tax Act, 1961. The Scheme also provides for various other matters consequent and incidental thereto.

3. Affidavits are filed in support of the Application sworn for and on behalf of the Applicant Company by Mr. Mahendrabhai Pandya being authorized representative for the Applicant Company duly authorized vide Board Resolutions passed in the respective meeting of Board of Directors on 21.10.2022 for the respective Applicant Company.

4. It is submitted that the Applicant Company having CIN: U72501GJ2019PLC108755 is incorporated, under the provisions of the Companies Act, 2013 in the name of 'Reliance Digital Platform & Project Sevices Limited' on 19th June, 2019. The name of the Applicant Company was changed to 'Reliance Projects & Property Management Services Limited w.e.f. 4th April, 2020. A certificate of incorporation consequent upon the change of name was issued by the Registrar of Companies, Gujarat, Ahmedabad. The registered office of the Applicant Company is situated at; 101, Saffron, Nr. Centre Point, Panchwati Panch Rasta, Ambawadi, Ahmedabad, Gujarat - 380006. The Authorised Share Capital and Issued,

Subscribed and Paid-up Share Capital of the Applicant Company as on 31st March, 2023 is as follows:-

Particulars	**INR**
Authorised Share Capital	
10,00,20,000 equity shares of Rs 10 each	100,02,00,000
1005,90,00,000 preference shares of Rs 10 each	100,59,00,00,000
TOTAL	1,01,59,02,00,000

Issued, Subscribed and Paid-up Capital	
10,00,00,000 equity shares of Rs 10 each fully paid up	100,00,00,000
979,52,40,000 preference shares of Rs 10 each fully paid up	97,95,24,00,000
TOTAL	**98,95,24,00,000**

5. The Registered office of the Applicant/Demerger Company is situated in the state of Gujarat. Therefore, the subject matter of this Company Application is within the jurisdiction of this Hon'ble Tribunal.

6. The registered office of the Applicant/Resulting Company is situated in the State of Maharashtra. Therefore, the subject matter of its company application is within the jurisdiction of the National Company Law Tribunal, Mumbai Bench. The Resulting Company has filed the company application with the National Company Law Tribunal, Mumbai Bench. The Learned Senior Counsel for the Applicant Company submits that the National Company Law Tribunal, Mumbai Bench has at the hearing held on May 11, 2023 agreed to

dispense with the convening and holding of meetings of the shareholders and creditors of the Resulting Company.

7. It is submitted that the Applicant Company is carrying on the business of rendering various types of services including but not limited to providing manpower, management, business support, human resources, infrastructure support, hospitality, transport, technology, digital, consultancy and also act as advisers, consultants, agents, trustee, partners, contractors either alone or in conjunction with others for rendering such services etc.

8. The Applicant Company has filed its Memorandum and Articles of Association inter alia delineating its object clauses along with its latest financial statement as of 31.03.2023 and the audited financial statement for the Applicant Company as of 31.03.2022 which are annexed with the application.

9. Rationale of the Scheme: The amalgamation would, *inter alia*, bring about:

    1. *The Resulting Company has decades of experience in executing some of the largest & complex projects in the world and has a strong team of ~ 4,000 engineers with proven expertise across EPC business for its oil to chemicals vertical. The Demerged Company has built capabilities in EPC and infrastructure services for the digital business. It is proposed to demerge the Demerged Undertaking (as defined hereinafter) from the Demerged Company to the Resulting Company to aggregate and synergize engineering capabilities and expertise of the group.*

2. The Scheme will result in the following benefits:

(a) Consolidate EPC capabilities in the Resulting Company;

(b) To execute EPC services in a cost-efficient manner, leading to a long-term value creation; and

(c) Pooling of resources and expertise of the Demerged Company with that of the Resulting Company.

3. The Scheme is in the interest of the Demerged Company and the Resulting Company and their respective stakeholders."

10. The Board of Directors of the Applicant Company has unanimously approved the proposed scheme of arrangement as contemplated above. Copy of board resolution of the Applicant Company dated 21.10.2022 passed in its board meeting is placed on record.

11. The certificate issued by the Statutory Auditor of the Applicant Company under Section 133 of the Companies Act, 2013, is placed on record.

12. The Applicant Company is a wholly owned subsidiary of the Resulting Company. Therefore, pursuant to the scheme, no consideration will be discharged by the Resulting Company to the Applicant Company, for the transfer and vesting of the Demerged Undertaking from the Applicant Company to the Resulting Company.

13. It is further submitted that the Applicant Company is not listed company, hence approval of SEBI, is not required. It is further submitted that the provisions of RBI and the Competition Act, 2002 are not applicable to the present Scheme and no notice is required to be issued to the said authority.

14. The Applicant Company have submitted that no investigation or proceedings under Sections 210 to 227 of the Companies Act, 2013 have been instituted or are pending in relation to the Applicant Company.

15. With respect to the **Applicant Company/Demerger Company**, it is stated that:-

    (a) The Applicant Company is a wholly-owned subsidiary of the Resulting Company. As such, the Resulting Company along with its nominees are the only equity shareholders of the Applicant Company. There are 7 equity shareholders and a certificate from Chartered Accountant certifying the list of shareholders is annexed with the application. All equity shareholders have given their consent by way of affidavits for the proposed composite scheme of arrangement. The copies of the consent affidavits of all equity shareholders are annexed with the application. Hence, the company is seeking dispensation for holding/convening the meeting of equity shareholders.

(b) There is 1 sole preference shareholder and a certificate from Chartered Accountant certifying the list of sole preference shareholder is placed on record and the sole preference shareholder has given its consent by way of affidavit approving the Scheme. The consent by way of affidavit along with Board Resolution of the sole preference shareholder of the Applicant Company is annexed with the application. Hence, the Company is seeking to dispense with the meeting of its Preference Shareholder.

(c) As on 31.3.2023, the Applicant Company has 2 secured creditors having an outstanding balance of Rs. 14,91,000/- and a certificate from Chartered Accountant certifying the list of secured creditors is annexed with the application. The consents by way of affidavits of both the secured creditors of the Applicant Company are annexed with the Application. Hence, the Company is seeking to dispense with the meeting of its Secured Creditors.

(d) As on March 31, 2023, the Applicant Company has 3,086 unsecured creditors having an outstanding balance of Rs. 5,00,31,80,91,991/- and a certificate from Chartered Accountant certifying the list of unsecured creditors is annexed with the application. The consents by way of affidavits of the unsecured creditors of the Applicant Company representing 91.33% of the total outstanding value as on March 31, 2023 along with Board Resolution in case of Unsecured

Creditor are annexed with the application. Hence, the Company is seeking dispensation for holding the meeting of its Unsecured Creditors.

16. Taking into consideration the submissions and the documents filed therewith, we issue the following directions:

i) In relation to the Applicant Company/Demerger Company:

a. With respect to Equity Shareholders:

Convening of the meeting of equity shareholders of the company is hereby dispensed with, in view of 100% consent affidavits of shareholders on record.

b. With respect to Preference Shareholder

Convening of the meeting of sole preference shareholder of the company is hereby dispensed with, in view of consent affidavit of sole preference shareholder on record.

c. With respect to Secured Creditors:

Convening of the meeting of secured creditors of the company is hereby dispensed with, in view of 100% consent affidavits of secured creditors on record.

d. With respect to Unsecured Creditors:

Convening of the meeting of unsecured creditors of the company is hereby dispensed with, in view of 91.33% (in value) consent affidavits of unsecured creditors on record.

17. In compliance of sub-section (5) of Section 230 and Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, the Applicant Transferee Company shall send a notice in Form No.CAA.3 along with disclosures mentioned under Rule 6, to (i) the Central Government through the Regional Director, North Western Region, (ii) the Registrar of Companies, Gujarat, and (iii) to the Income Tax Department along with full details of assessing officer and PAN numbers of all the applicant companies with a copy also to the office of Principal Chief Commissioner of Income Tax and to such other Sectoral Regulatory Authorities who may govern the working of the respective companies involved in the Scheme and representation, if any, to be made by them shall be made within 30 days from the date of receipt of such notice, failing which it shall be presumed that they have no objection to make on the proposed Scheme. The said notices shall be sent forthwith by registered post or by speed post or by courier or by hand delivery or by an email at the office of the authority as required by sub-rule (2) of Rule 8 of the Companies (CAA) Rules, 2016. The aforesaid authorities, who desire to make any representation under sub-section (5) of Section 230, shall send the same to the Tribunal within a period of 30 days from the date of

receipt of such notice, failing which it will be deemed that they have no representation to make on the proposed arrangement.

18. The Application is allowed and disposed of in terms of the above directions.

-SD-

AJAI DAS MEHROTRA
MEMBER (TECHNICAL)

-SD-

SHAMMI KHAN
MEMBER (JUDICIAL)

Swetambary-Steno
Abhishek Singh-LRA